

Law of Equity and Trusts (EQT1)

Module 6: Breach, Tracing and Remedies

Lesson 2: Personal and Proprietary Remedies for Breach

Lesson Notes

KMVTECHUG

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Personal Remedies

Account of profits recovers unauthorised gains. Equitable compensation restores loss caused by breach. Personal claims do not require identifiable property but depend on the defendant's solvency.

Proprietary Remedies

Constructive trust, equitable charge and subrogation give rights in specific property. They are especially valuable when the defendant is insolvent because they can confer priority over unsecured creditors.

Third-Party Liability

Knowing receipt targets recipients of trust property who know (or are treated as knowing) of the breach so that retention is unconscionable. Dishonest assistance targets those who dishonestly assist a breach — dishonesty assessed objectively.

Key idea: Plead personal and proprietary claims in the alternative; join third parties where the trustee is insolvent or unavailable.

Key Takeaways

- Account vs equitable compensation.
- Proprietary remedies need tracing and give insolvency priority.
- Knowing receipt and dishonest assistance expand the defendant pool.

Quick Revision Checklist

- ☐ I can distinguish personal and proprietary remedies.
- ☐ I know when proprietary relief is especially valuable.
- ☐ I can define knowing receipt and dishonest assistance.
- ☐ I can structure a remedies analysis for a breach problem.